



MAKE IN INDIA

Market Survey

INDUSTRIAL AUTOMATION AND CONTROL: Issues And Trends



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By 2025, industrial automation will make up majority of the Internet of Things (IoT) with Internet protocol (IP)-addressable devices as the key enabler

Compelled by the continuous pressure on profitability improvement, manufacturers continuously look to invest in solutions that will help them increase their productivity with minimal assets. That's where industrial automation acts as an enabler to increase reliability and efficiency, thereby improving return on investment (ROI).

Industrial automation enhances production rate and quality by incorporating innovative and integrated technologies, thereby reducing costs associated with the production process. It takes mechanisation one step further by replacing human labour with computer programming and automation devices and thus achieving a performance superior to manual operation.

Using devices such as programmable logic controllers (PLCs), industrial personal computers (PCs) and programmable automation controllers (PACs), automation solutions streamline industrial processes without requiring human intervention. A study by McKinsey Global Institute estimates that automation could raise global productivity by as much as 1.4 per cent annually. Moreover, all occupations have a partial automation potential as a significant portion of their activities can be automated.

Accenture forecasts the potential of automation devices to double the gross value

added (GVA) across 12 developed economies by 2035, with labour productivity increasing up to 40 percentage points. All the above facts suggest that automation as an industry has huge growth potential.

Market opportunity

Globally, the automation market is expected to witness rapid growth in the coming decades. Some of the factors augmenting the growth of automation market include demand for operational efficiency, technology advancement, system integration and advancement in M2M communications technology.

Similarly, automation market in India has been growing significantly over the last decade due to the increasing need for reliable and cost-effective ways of production. According to a report published by Ken Research, the Indian industrial automation industry is expected to reach ₹ 197 billion by 2020 with growth driven by rapid adoption of modern technology backed by cost-saving features. The demand for factory automation solutions in India is anticipated to surge with increase in domestic manufacturing and emphasis on increased process efficiency.

Moreover, relaxation in foreign investment norms has encouraged a number of foreign companies to set up their businesses